

Global Accounting Standards & Controls (US GAAP/IFRS/Ind AS, SOX)

Hands-On Complete-Knowledge Deep-Dive (India, 2026)

Do-the-task drills: worked examples, entries, interview drills & free practice

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The Three Frameworks: US GAAP vs IFRS vs Ind AS

What you'll be able to do

Sit in a GCC / Big-4 / treasury seat and instantly answer three questions any reviewer will fire at you: *which* rulebook governs a set of financials, *why* that one applies, and *what* the equivalent standard is in the other two. You will be able to read a filing footnote ("prepared under US GAAP" / "IFRS as issued by the IASB" / "Ind AS notified under the Companies Act") and know the reporting boundaries, restatement risk, and the carve-outs that make Ind AS *not quite* IFRS. You will be able to build a standard-numbering crosswalk so that when a US parent asks for an "ASC 842 memo" and your India team knows it as "Ind AS 116," nobody talks past each other.

The essentials

Three rulebooks, three issuers.

Framework	Issuer	Style	Primary users
US GAAP	FASB (Financial Accounting Standards Board), codified as ASC (Accounting Standards Codification)	Rules-based, bright lines, industry guidance	SEC registrants (US-listed cos), most private US cos
IFRS	IASB (International Accounting Standards Board)	Principles-based, judgement-heavy	140+ jurisdictions: EU, UK, Gulf, Singapore, Australia, most of Asia/Africa
Ind AS	MCA/ICAI, converged with IFRS, notified under Companies (Ind AS) Rules 2015	IFRS with carve-outs / carve-ins	Larger Indian companies (see applicability)

When each applies.

US GAAP — mandatory for domestic SEC filers. Foreign private issuers may file under IFRS-as-issued-by-IASB without reconciliation. There is no "size threshold"; it's about being in the US reporting net.

IFRS — a jurisdiction *adopts* it (or mandates it for listed entities). "IFRS as issued by the IASB" is the pure form; the "EU-endorsed IFRS" is IFRS minus what the EU hasn't carved in (historically the IAS 39 "carve-out").

Ind AS applicability (the number you must know cold):

Phase	Who	From
Mandatory	Listed cos + unlisted with net worth ≥ ₹250 cr	FY 2016-17 / 2017-18
Banks/NBFCs	NBFCs net worth ≥ ₹500 cr (Phase I), ≥ ₹250 cr (Phase II)	FY 2018-19 onward
Everyone else	AS (the older Indian GAAP)	—

Companies below the threshold and unlisted still use **AS** (Accounting Standards), the pre-convergence Indian GAAP. So India actually runs **two** GAAPs in parallel: Ind AS (IFRS-converged) and AS (legacy). Voluntary adoption of Ind AS is allowed but irreversible.

Convergence, not adoption. India did *not* adopt IFRS wholesale; it *converged*. Ind AS numbers mirror IFRS with a "1" prefix logic: **Ind AS 1xx ≈ IFRS**, **Ind AS 1–41 range ≈ IAS**. The differences are the **carve-outs** (India removed an IFRS option) and **carve-ins** (India added guidance).

Carve-outs that matter in interviews: - **Ind AS 21 / foreign currency:** option to capitalise exchange differences on long-term foreign-currency monetary items into the cost of a depreciable asset (a legacy relief IFRS doesn't allow). - **Ind AS 103 (business combinations):** common-control combinations use the **pooling-of-interests** method (IFRS 3 scopes them out entirely). - **Ind AS 109:** some FVTPL election differences and the treatment of certain financial guarantee contracts. - **Ind AS 32/109 puttable instruments, and the "bright-line" lease treatments** align but presentation nuances differ.

Hands-on — step by step

Task: A US parent ("ParentCo," SEC filer, US GAAP) has an Indian subsidiary ("IndiaCo," listed, net worth ₹900 cr). You must (a) confirm each entity's framework, (b) list what IndiaCo reports *twice*, (c) build a crosswalk for the group's revenue, lease and financial-instrument standards.

Step 1 — Classify each entity. - ParentCo: SEC filer → **US GAAP (ASC)**. - IndiaCo: listed + net worth ₹900 cr (> ₹250 cr) → **Ind AS**, statutory. - For the US consolidation, IndiaCo also prepares a **US GAAP reporting package** ("stat-to-GAAP" conversion). So IndiaCo

maintains books once and reports twice.

Step 2 — Identify the conversion deltas (stat-to-US-GAAP). The recurring adjustments IndiaCo's controller books each quarter: - **Ind AS 21 carve-out:** if IndiaCo capitalised FX losses on long-term ECB into a plant's cost, reverse it under US GAAP (US GAAP expenses it). Say ₹40 lakh capitalised → reversing entry increases current-period FX expense, reduces asset & future depreciation. - **Component depreciation, ECL staging, lease discount rate** differences flow through as top-side adjustments.

Step 3 — Build the crosswalk table (below). Map the exact standard trio for each topic the group cares about.

Step 4 — Worked mini-reconciliation of one delta. IndiaCo net profit under Ind AS = ₹500 lakh. The only GAAP difference this quarter is the FX capitalisation carve-out (₹40 lakh capitalised under Ind AS, expensed under US GAAP; ignore tax for simplicity).

Net profit (Ind AS)	500
Less: FX loss expensed under US GAAP	(40)
Add back: depreciation on that FX not taken under US GAAP (₹40L/10yr)	4
Net profit (US GAAP)	464

That ₹464 lakh is what rolls into ParentCo's consolidation.

The output

Standard-numbering crosswalk — the artefact to memorise:

Topic	US GAAP (ASC)	IFRS	Ind AS
Presentation of FS	205/210 etc.	IAS 1	Ind AS 1
Inventories	ASC 330	IAS 2	Ind AS 2
Cash flows	ASC 230	IAS 7	Ind AS 7
Income taxes	ASC 740	IAS 12	Ind AS 12
PP&E	ASC 360	IAS 16	Ind AS 16
Revenue	ASC 606	IFRS 15	Ind AS 115
Leases	ASC 842	IFRS 16	Ind AS 116
Financial instruments	ASC 320/326 (CECL)	IFRS 9	Ind AS 109
Foreign currency	ASC 830	IAS 21	Ind AS 21
Fair value	ASC 820	IFRS 13	Ind AS 113
Consolidation	ASC 810	IFRS 10	Ind AS 110
Business combinations	ASC 805	IFRS 3	Ind AS 103
Associates (equity method)	ASC 323	IAS 28	Ind AS 28
Impairment of assets	ASC 360/350	IAS 36	Ind AS 36
Provisions	ASC 450	IAS 37	Ind AS 37
Employee benefits	ASC 715	IAS 19	Ind AS 19

Reconciliation note (delivered to ParentCo): "IndiaCo Q net profit ₹500L (Ind AS) reconciles to ₹464L (US GAAP); sole difference is the Ind AS 21 long-term FX capitalisation carve-out, reversed for US GAAP."

Checks, gotchas & red flags

- **Ind AS ≠ IFRS.** Never tell a client "we're IFRS-compliant" if you're on Ind AS — the carve-outs (common-control pooling, FX capitalisation) break equivalence. Say "Ind AS, converged with IFRS."
- **AS vs Ind AS confusion.** A ₹50 cr unlisted company is on **AS**, not Ind AS. Check net worth and listing status before assuming.
- **CECL vs ECL.** US GAAP financial-instrument impairment is **CECL (ASC 326)** — lifetime losses from day one, no staging. IFRS 9 / Ind AS 109 uses **3-stage ECL**. They are *not* the same model even though both are "expected loss."

- **Numbering trap:** IAS vs IFRS both live under the IASB — IAS are the *older* standards not yet replaced. Don't say "IFRS 21"; foreign currency is **IAS 21**.
- **Net worth is computed per the Rules**, not casual book value — includes securities premium, excludes revaluation reserves and certain items. Verify against the definition before concluding on applicability.

Interview drill

Q1: "Our India entity has net worth ₹300 cr and is unlisted. Which framework?" A: Ind AS is mandatory — unlisted entities with net worth $\geq$ ₹250 cr fall in the mandatory net, so ₹300 cr triggers Ind AS. If it were, say, ₹200 cr and unlisted, it would stay on legacy AS. Listing status would force Ind AS regardless of size.

Q2: "Name two Ind AS carve-outs from IFRS and why they exist." A: (1) Ind AS 103 requires **pooling-of-interests for common-control combinations** — IFRS 3 scopes those out, so India added guidance rather than leave a gap; it preserves book values in group restructurings. (2) Ind AS 21 permits **capitalising exchange differences on long-term foreign-currency monetary items** into asset cost — a relief carried over from Indian GAAP to soften P&L volatility for infrastructure/ECB-heavy firms. Both mean Ind AS financials aren't automatically IFRS-compliant.

Q3: "US parent, IFRS-reporting European sub, Ind AS Indian sub — how many conversions?" A: The group consolidates under **US GAAP**. The European sub converts IFRS→US GAAP; the Indian sub converts Ind AS→US GAAP. Two conversion packages, each isolating that framework's deltas (e.g., IAS 21 capitalisation, CECL vs ECL, lease discount-rate policy) as top-side adjustments feeding the parent's consolidation.

Learn/practise (free)

- **IFRS Foundation** website — standards summaries free; full text needs (free) registration.
- **MCA India** (mca.gov.in) — Ind AS text and Companies (Ind AS) Rules, free and authoritative for applicability.
- **FASB ASC Basic View** — free registration gives read access to the Codification.
- **ICAI** educational materials and "Ind AS vs IFRS" comparison booklets — free PDFs, best single source for carve-outs.
- **Rehearse:** take any listed Indian company's annual report (Ind AS) and a US peer's 10-K, and build the crosswalk yourself for revenue, leases, and financial instruments — then list three reconciling items you'd expect between them.

Revenue & Leases: ASC 606 / IFRS 15 / Ind AS 115 and ASC 842 / IFRS 16 / Ind AS 116

What you'll be able to do

Take a signed customer contract and *recognise the revenue correctly* — identify the performance obligations, allocate the price, decide point-in-time vs over-time, and book the journal entries with a contract-asset / deferred-revenue schedule that ties out. Take a lease and *put it on the balance sheet* — compute the lease liability as a present value, set up the right-of-use (ROU) asset, and roll a full amortisation schedule with the interest-and-principal split and the depreciation entry. You'll also know the two or three US-GAAP-vs-IFRS differences a reviewer will test you on.

The essentials

Revenue — the single 5-step model (identical logic in ASC 606 / IFRS 15 / Ind AS 115):

1. **Identify the contract** — approved, rights identifiable, commercial substance, collection probable.
2. **Identify performance obligations (POs)** — distinct promised goods/services.
3. **Determine the transaction price** — including variable consideration (constrained to the amount "highly probable" of not reversing).
4. **Allocate** the price to POs by **standalone selling price (SSP)**.
5. **Recognise** revenue when (point in time) or as (over time) each PO is satisfied — i.e., when control transfers.

Over-time recognition if any one holds: customer consumes as you perform; you create/enhance an asset the customer controls; or the asset has no alternative use *and* you have an enforceable right to payment for work done. Otherwise **point in time**.

Leases — lessee model (ASC 842 / IFRS 16 / Ind AS 116). Both put nearly all leases on the balance sheet: - **Lease liability** = PV of remaining lease payments, discounted at the rate implicit in the lease, else the **incremental borrowing rate (IBR)**. - **ROU asset** = lease liability + initial direct costs + prepaid rent – lease incentives.

The one big difference — lessee P&L pattern:

	IFRS 16 / Ind AS 116	ASC 842
Lease classification (lessee)	Single model — all finance-type	Two types: finance vs operating
P&L for an operating lease	n/a (all leases: depreciation + interest, front-loaded total cost)	Single straight-line lease expense
Balance sheet	ROU + liability	ROU + liability (both types)

So under IFRS/Ind AS every lease looks like a finance lease (interest is front-loaded, expense declines over time). Under US GAAP, an *operating* lease keeps a flat straight-line expense even though the asset and liability are on the balance sheet. Lessor accounting stays broadly the classification-based model in all three.

Hands-on — step by step

Part A — Revenue (worked)

Contract: SoftServe Ltd sells a software licence **plus** 12 months of support for a bundled **₹12,00,000**, signed 1 Jan. SSPs: licence ₹10,00,000; support ₹5,00,000 (total SSP ₹15,00,000). Licence transfers at a point in time (day 1); support is over time (evenly).

Step 1–2: One contract; **two POs** — licence (distinct) and support (distinct).

Step 3: Transaction price ₹12,00,000 (no variable consideration).

Step 4 — allocate by SSP ratio: - Licence: $12,00,000 \times (10/15) = \text{₹8,00,000}$ - Support: $12,00,000 \times (5/15) = \text{₹4,00,000}$

Step 5 — recognise: Licence ₹8,00,000 on 1 Jan; support ₹4,00,000 straight-line = **₹33,333/month**.

Entries (₹):

At signing / invoice (assume full ₹12,00,000 billed and received 1 Jan):

Dr Bank	12,00,000	
Cr Revenue – licence		8,00,000
Cr Contract liability (deferred)		4,00,000

Each month for support:

Dr Contract liability	33,333	
Cr Revenue – support		33,333

After 12 months the ₹4,00,000 deferred is fully recognised.

If instead billing lagged performance (you'd earned revenue before the right to invoice), the debit sits in a **contract asset**, not a receivable.

Part B — Lease (worked)

Lease: Office, **3 years**, payment **₹5,00,000 at each year-end**, IBR **10%**, no initial direct costs/incentives. Lessee under **Ind AS 116 / IFRS 16**.

Step 1 — Lease liability = PV of 3 payments at 10%:

Year	Payment	PV factor @10%	PV
1	5,00,000	0.9091	4,54,545
2	5,00,000	0.8264	4,13,223
3	5,00,000	0.7513	3,75,657
		Total	12,43,426

Step 2 — Initial entry (day 1):

Dr ROU asset	12,43,426	
Cr Lease liability		12,43,426

Step 3 — Amortisation schedule (liability):

Yr	Open liab	Interest @10%	Payment	Principal	Close liab
1	12,43,426	1,24,343	5,00,000	3,75,657	8,67,769
2	8,67,769	86,777	5,00,000	4,13,223	4,54,545
3	4,54,545	45,455	5,00,000	4,54,545	0

Step 4 — ROU depreciation (straight-line over 3 yrs) = $12,43,426 / 3 = \text{₹}4,14,475/\text{yr}$.

Step 5 — Year-1 entries:

Dr Interest expense	1,24,343	
Dr Lease liability	3,75,657	
Cr Bank		5,00,000
Dr Depreciation	4,14,475	
Cr Accumulated depreciation – ROU		4,14,475

Year-1 total P&L charge = interest 1,24,343 + depreciation 4,14,475 = **₹5,38,818** (front-loaded; falls each year).

Under ASC 842, if this were an operating lease: you'd still book the ₹12,43,426 ROU and liability, but the P&L charge would be a **flat ₹5,00,000/yr** straight-line — the ROU amortisation is the plug that keeps total expense level.

The output

Revenue — contract-liability roll-forward (Year 1):

Opening deferred	4,00,000
Recognised (12 × 33,333)	(4,00,000)
Closing deferred	0
Total revenue Yr1 = 8,00,000 (licence) + 4,00,000 (support) = 12,00,000	

Lease — note disclosure figures (Ind AS 116, Yr 1):

ROU asset (net)	: 12,43,426 - 4,14,475 = 8,28,951
Lease liability	: 8,67,769 (current + non-current split)
Interest expense	: 1,24,343
Depreciation	: 4,14,475
Cash outflow (financing + operating per IFRS 16 split)	

Checks, gotchas & red flags

- **SSP must be used for allocation**, not the contract's stated line prices — a "free" item bundled in still gets allocated revenue.
- **Variable consideration constraint**: don't book variable amounts (bonuses, rebates) unless "highly probable" no significant reversal — classic overstatement red flag.
- **Contract asset ≠ receivable**. A receivable is an unconditional right to cash; a contract asset is conditional on further performance.
- **Lease liability uses payments, ROU adds costs** — mixing them (e.g., adding initial direct costs to the *liability*) is the most common error. IDC go into the **ROU asset only**.
- **Discount rate**: implicit rate first; IBR only if implicit rate isn't readily determinable. Using the wrong rate mis-states both sides.
- **Front-loading**: under IFRS 16 total lease cost is higher in early years — don't "expect" a flat charge; that's US-GAAP operating-lease behaviour.
- **Short-term (≤12 months) and low-value lease exemptions** exist under IFRS 16/Ind AS 116 — those stay off balance sheet, expensed straight-line.
- **Tie-out**: liability must amortise to exactly **zero** at lease end; if it doesn't, your PV or schedule is wrong.

Interview drill

Q1: "Walk me through allocating price when SSPs don't sum to the contract price." A: You allocate the *transaction price* in proportion to standalone selling prices, regardless of the stated total. In the SoftServe case SSPs summed to ₹15L but the deal was ₹12L, so each PO got 12/15 of its SSP — licence ₹8L, support ₹4L. The ₹3L discount is spread pro-rata, not dumped on one obligation (unless evidence shows the discount relates to specific POs).

Q2: "A tenant signs a 5-year lease. Under IFRS 16, does the income statement charge stay flat?" A: No — IFRS 16 uses a single finance-lease model, so the charge is **depreciation (straight-line) plus interest on the liability (declining)**. Total expense is **front-loaded**: higher in year 1, lower by year 5. A flat charge only happens under **ASC 842 operating leases**, where the ROU amortisation flexes to level total expense.

Q3: "When is revenue recognised over time?" A: When one of three criteria is met — the customer simultaneously receives and consumes benefits as you perform (e.g., a cleaning service); you create/enhance an asset the customer controls as it's built; or the asset has no alternative use to you and you have an enforceable right to payment for performance to date. Otherwise it's a point-in-time transfer of control.

Learn/practise (free)

- **IFRS 15 / IFRS 16 illustrative examples** — free on the IFRS Foundation site; the worked examples mirror exam questions.
- **ICAI Ind AS 115 / 116 educational material** — free PDFs with Indian-context examples and entries.
- **FASB ASC 606 / 842 Basic View** — free registration for the US-GAAP text and the operating-vs-finance test.
- **Rehearse in Excel**: build the lease schedule with `=PV(rate,nper,-pmt)` for the liability, then a manual roll-forward table; prove it amortises to zero. For revenue, build an SSP allocation table and a deferred-revenue waterfall — both are exactly what you'd hand a reviewer.

Financial Instruments & Foreign Currency: IFRS 9 / Ind AS 109, IAS 21

What you'll be able to do

Classify a financial asset into the right measurement bucket (amortised cost / FVOCI / FVTPL) by running the two tests employers expect you to know — the **business model** test and the **SPPI** (solely payments of principal and interest) test — and book the right entries. Compute an **expected credit loss (ECL)** allowance and move a loan through the three stages. Set up a basic **hedge accounting** relationship (cash-flow and fair-value) with entries. And translate foreign-currency items under **IAS 21 / Ind AS 21**, correctly splitting **monetary vs non-monetary** and identifying **functional currency**.

The essentials

Classification & measurement (IFRS 9 / Ind AS 109) — debt instruments:

Business model	Cash-flow test (SPPI)	Measurement
Hold to collect	Passes SPPI	Amortised cost
Hold to collect and sell	Passes SPPI	FVOCI (interest & impairment in P&L; FV changes in OCI, recycled on sale)
Other (trading) / fails SPPI	—	FVTPL

- **Equity instruments:** default **FVTPL**; irrevocable option at inception to present FV changes in **OCI (no recycling)** for non-held-for-trading equities.
- **Financial liabilities:** mostly amortised cost; FVTPL by election, with own-credit-risk changes to OCI.

Impairment — the 3-stage ECL model (forward-looking, applies to amortised-cost & FVOCI debt, lease receivables, contract assets):

Stage	Credit risk since origination	Loss allowance	Interest revenue on
1	Not significantly increased	12-month ECL	Gross carrying amount
2	Significantly increased (SICR)	Lifetime ECL	Gross carrying amount
3	Credit-impaired (default)	Lifetime ECL	Net carrying amount

Trade receivables use the **simplified approach** — lifetime ECL always (provision matrix). Note: US GAAP's **CECL (ASC 326)** books lifetime losses from day one with **no staging** — a key contrast.

Hedge accounting (optional, needs documentation + effectiveness): - **Fair-value hedge:** re-measure hedged item for the hedged risk through P&L; hedging instrument at FV through P&L — the two offset. - **Cash-flow hedge:** effective portion of the derivative's gain/loss to **OCI (cash-flow hedge reserve)**, recycled to P&L when the hedged forecast transaction hits earnings.

Foreign currency (IAS 21 / Ind AS 21): - **Functional currency** = currency of the primary economic environment (where sales prices, costs, financing are denominated). Determined first; **presentation currency** can differ. - At each reporting date: **monetary items** (cash, receivables, payables, loans) → **closing rate**, differences to **P&L**. **Non-monetary items at historical cost** (PP&E, inventory) → **historical rate**, no re-translation. Non-monetary at fair value → rate at valuation date.

Hands-on — step by step

Part A — Classification (worked)

BankCo buys a ₹1,00,00,000 corporate bond, 8% coupon, intends to hold to maturity to collect contractual cash flows; cash flows are principal + interest. - Business model = hold to collect; SPPI passes → **amortised cost**. - Entry: Dr Investment 1,00,00,000 / Cr Bank 1,00,00,000 ; interest accrued via effective interest.

Part B — ECL (worked)

Loan book: gross carrying **₹1,00,00,000**, all Stage 1 at origination. - **12-month PD** = 2%, **LGD** = 40%, **EAD** = ₹1,00,00,000. - **12-month ECL** = PD × LGD × EAD = 0.02 × 0.40 × 1,00,00,000 = **₹80,000**.

Entry (Year 0):

Dr Impairment loss (P&L)	80,000
Cr Loss allowance (ECL)	80,000

Year 1 — borrower's credit deteriorates (SICR) → Stage 2. Now use **lifetime** PD = 15%. - Lifetime ECL = $0.15 \times 0.40 \times 1,00,00,000 = \text{₹}6,00,000$. Allowance must rise from ₹80,000 to ₹6,00,000.

Entry:

Dr Impairment loss (P&L)	5,20,000
Cr Loss allowance	5,20,000

Year 2 — borrower defaults → Stage 3. Interest now accrues on the **net** carrying amount (gross – allowance), and the loan is credit-impaired. Further allowance top-up flows through P&L; on write-off, **Dr Loss allowance / Cr Loan**.

Part C — Cash-flow hedge (worked, brief)

ExportCo expects to receive **USD 1,00,000** in 3 months and hedges with a forward. Over the quarter the forward gains **₹50,000** (effective).

Dr Forward (derivative asset)	50,000
Cr Cash-flow hedge reserve (OCI)	50,000

When the USD sale is recognised, recycle the ₹50,000 from OCI to P&L (adjusting revenue/FX), so the hedged cash flow lands at the locked rate.

Part D — IAS 21 FX (worked)

IndiaCo (functional currency INR) has, at year-end: - **USD receivable 10,000**, booked at ₹82/USD = ₹8,20,000; **closing rate ₹84**. - **Machine** bought for USD 5,000 at ₹80/USD = ₹4,00,000 (non-monetary, historical cost).

Year-end: - Receivable (monetary) → $10,000 \times 84 = \text{₹}8,40,000$. **FX gain ₹20,000** to P&L:

Dr Trade receivable	20,000
Cr FX gain (P&L)	20,000

- Machine (non-monetary at historical cost) → **stays ₹4,00,000**, no re-translation.

The output

ECL allowance roll-forward:

Opening (Yr0)	80,000	(Stage 1, 12-mo ECL)
Move to Stage 2 (Yr1)	+5,20,000	(Lifetime ECL, SICR)
Closing (Yr1)	6,00,000	

FX re-measurement summary (year-end):

Monetary	USD receivable	: 8,20,000 → 8,40,000	→ +20,000 P&L
Non-monetary	machine	: 4,00,000 → 4,00,000	→ nil
Net FX gain	to P&L	: 20,000	

Classification memo (one line each): "Corporate bond — hold-to-collect + SPPI pass → **amortised cost**; forward on USD receivable — designated **cash-flow hedge**, effective portion in OCI; equity stake in supplier — **FVTPL** (no OCI election taken)."

Checks, gotchas & red flags

- SPPI first, business model together — both must be satisfied** for amortised cost/FVOCI. A convertible bond or one with leverage features **fails SPPI** → FVTPL.

- **ECL is forward-looking**, not incurred-loss. Booking a provision only after default (old IAS 39) is wrong under IFRS 9.
- **Stage 3 flips interest to net carrying amount** — a classic exam catch; Stages 1–2 accrue on gross.
- **CECL vs ECL**: don't apply staging to US GAAP — CECL is lifetime from day 1, no stages.
- **Monetary vs non-monetary is the whole game in IAS 21**. Re-translating PP&E at closing rate is a top error; only monetary items and FV-carried non-monetary items move.
- **Functional ≠ presentation currency**. A company can *function* in USD but *present* in INR (translation of results uses average/closing rates, with the translation difference in OCI — the **foreign currency translation reserve**).
- **Ind AS 21 carve-out**: India permits capitalising long-term FX monetary-item differences into asset cost — not allowed under pure IFRS. Flag it in group reporting.
- **Hedge docs**: no contemporaneous documentation + effectiveness assessment = **no hedge accounting**, and the derivative goes straight to P&L (volatility).

Interview drill

Q1: "How do you classify a financial asset under IFRS 9?" A: Two tests. The **business model** test — hold to collect (amortised cost), hold to collect and sell (FVOCI), or other/trading (FVTPL). And the **SPPI** test — do contractual cash flows represent solely principal and interest? Only if SPPI passes can you use amortised cost or FVOCI; anything that fails SPPI (e.g., equity, convertibles, leveraged returns) goes to FVTPL. Equities are FVTPL by default with an irrevocable FVOCI-no-recycling election.

Q2: "Loan of ₹1 cr, PD 2%, LGD 40%. What's the Stage 1 allowance, and what changes it to Stage 2?" A: 12-month ECL = $2\% \times 40\% \times ₹1 \text{ cr} = ₹80,000$. It moves to Stage 2 on a **significant increase in credit risk (SICR)** since origination — then you switch to **lifetime** ECL (using lifetime PD), so the allowance jumps. Interest still accrues on gross until Stage 3 (default), where it moves to net.

Q3: "IAS 21 — which items get re-translated at year-end?" A: **Monetary items** (cash, receivables, payables, loans) at the **closing rate**, with differences in P&L. **Non-monetary items at historical cost** (PP&E, inventory) stay at the historical rate — no re-translation. Non-monetary items carried at fair value use the rate on the valuation date. Functional currency is determined first and drives all of this.

Learn/practise (free)

- **IFRS 9 / IAS 21 illustrative examples** — free on the IFRS Foundation site; the ECL and hedge examples are gold.
- **ICAI Ind AS 109 / 21 educational material** — free PDFs, India carve-outs explained.
- **RBI / bank Basel disclosures** — real ECL provision-matrix and staging disclosures to reverse-engineer.
- **Rehearse in Excel**: build a PD × LGD × EAD grid and a stage-transition roll-forward; then a two-column monetary/non-monetary FX re-measurement showing which lines move at closing vs historical rates. Both are exactly the schedules a reviewer asks for.

Consolidation & Business Combinations: IFRS 10 / IFRS 3

What you'll be able to do

Decide whether one entity **controls** another (IFRS 10 / Ind AS 110), then actually *build the consolidated balance sheet* — add the parent and subsidiary line by line, **eliminate** the investment against equity, carve out **non-controlling interest (NCI)**, and compute **goodwill**. Perform the **purchase price allocation (PPA)** in a business combination (IFRS 3 / Ind AS 103): fair-value the assets and liabilities acquired and land the residual as goodwill. And apply the **equity method** (IAS 28 / Ind AS 28) for associates where you have significant influence but not control. You'll do a full worked consolidation with the elimination entries a reviewer will check.

The essentials

Control (IFRS 10) — all three: (1) **power** over the investee (usually >50% voting, but substance matters — potential voting rights, contractual power), (2) **exposure to variable returns**, and (3) **ability to use power to affect those returns**. Control → **full consolidation**.

Influence spectrum:

Holding / relationship	Standard	Treatment
Control	IFRS 10 / Ind AS 110	Line-by-line consolidation + NCI
Significant influence (usually 20–50%)	IAS 28 / Ind AS 28	Equity method
Joint control	IFRS 11 / Ind AS 111	JV: equity method; JO: share of assets
< 20%, no influence	IFRS 9 / Ind AS 109	Financial asset (FVTPL/FVOCI)

Business combination (IFRS 3) — acquisition method, 4 steps: (1) identify the acquirer; (2) determine acquisition date; (3) recognise and **fair-value** identifiable assets acquired, liabilities assumed (including previously unrecognised intangibles — brands, customer relationships); (4) recognise **goodwill or a bargain-purchase gain**.

Goodwill formula:

```
Goodwill = Consideration transferred
          + NCI (at fair value OR at % of net identifiable assets – a policy choice)
          + fair value of any previously held interest
          – fair value of net identifiable assets acquired
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Negative result = **bargain purchase**, recognised as a **gain in P&L** (after a reassessment).

NCI measurement — two allowed methods (IFRS 3): - **Full goodwill** — NCI at fair value; goodwill includes NCI's share. - **Partial goodwill** — NCI at its proportionate share of net identifiable assets; goodwill = parent's share only.

Goodwill is not amortised under IFRS/Ind AS — it's tested annually for impairment (IAS 36 / Ind AS 36). (US GAAP private-company relief allows amortisation; the default public model is also impairment-only.)

Ind AS 103 carve-out: common-control combinations use **pooling-of-interests** (book values, no goodwill) — IFRS 3 scopes those out entirely.

Hands-on — step by step

Facts. On 1 Jan, ParentCo buys **80%** of SubCo for **₹8,00,000 cash**. SubCo's equity on that date: share capital ₹5,00,000, retained earnings ₹3,00,000 (book net assets ₹8,00,000). Fair-value review: SubCo's land is worth **₹1,00,000 more** than book. Use the **full-goodwill** method; NCI fair value = **₹1,90,000**.

Step 1 — Fair-value the net identifiable assets.

Book net assets	8,00,000
+ Land fair-value uplift	1,00,000
Fair value of net identifiable	9,00,000

Step 2 — Goodwill (full method).

Consideration	8,00,000
+ NCI at fair value	1,90,000
Total	9,90,000
– FV of net identifiable assets	(9,00,000)
Goodwill	90,000

(Check under partial method: $NCI = 20\% \times 9,00,000 = 1,80,000$; $goodwill = 8,00,000 + 1,80,000 - 9,00,000 = 80,000$. Difference ₹10,000 = NCI's share of goodwill.)

Step 3 — Elimination entry (on consolidation, day 1):

Dr Share capital (SubCo)	5,00,000	
Dr Retained earnings (SubCo)	3,00,000	
Dr Land (FV uplift)	1,00,000	
Dr Goodwill	90,000	
		Cr Investment in SubCo 8,00,000
		Cr NCI 1,90,000

This removes the parent's investment and the sub's pre-acquisition equity, brings in the FV uplift and goodwill, and sets up NCI. (Debits 9,90,000 = credits 9,90,000.)

Step 4 — Intercompany elimination (example). If ParentCo sold goods to SubCo for ₹50,000 (cost ₹40,000) and SubCo still holds them, eliminate the **unrealised profit ₹10,000** and the intra-group receivable/payable:

Dr Revenue (or COGS)	10,000	
		Cr Inventory 10,000
Dr Payables (intra)	<amt>	
		Cr Receivables (intra) <amt>

Step 5 — Post-acquisition NCI share. If SubCo earns ₹1,00,000 profit in Year 1, NCI gets 20% = **₹20,000** added to NCI, and the group's consolidated retained earnings include 80% = ₹80,000.

Step 6 — Equity method (if it were an associate instead). Say ParentCo instead held **30%** of AssocCo bought for ₹3,00,000; AssocCo earns ₹2,00,000 and pays ₹50,000 dividend:

Dr Investment in associate	60,000	(30% × 2,00,000 share of profit)
		Cr Share of profit (P&L) 60,000
Dr Bank	15,000	(30% × 50,000 dividend)
		Cr Investment in associate 15,000

Carrying value = 3,00,000 + 60,000 – 15,000 = **₹3,45,000**. No line-by-line consolidation — one net line.

The output

Consolidated balance sheet build (day 1 extract, ₹):

Line	Parent	Sub	Adj	Consolidated
Investment in SubCo	8,00,000	—	(8,00,000)	0
Goodwill	—	—	+90,000	90,000
Land	(incl. below)	book	+1,00,000	book + 1,00,000
Net assets (other)	...	...	—	added across
Equity — parent	share cap + RE	eliminated		parent only
NCI	—	—	+1,90,000 (+20k Yr1)	1,90,000 → 2,10,000

Goodwill note: "Goodwill of ₹90,000 arose on the 80% acquisition of SubCo; NCI measured at fair value (full-goodwill method); goodwill tested annually for impairment, not amortised."

Equity-method line (associate alternative): "Investment in associate ₹3,45,000 — cost ₹3,00,000 + share of profit ₹60,000 – dividend ₹15,000."

Checks, gotchas & red flags

- **Goodwill uses fair-valued net assets**, not book — forgetting the land uplift (here ₹1,00,000) over-states goodwill. Fair-value first, then compute the residual.
- **Full vs partial goodwill changes only goodwill and NCI**, never the sub's assets. Know which method the policy uses before you compute.
- **Eliminate the full investment against the full pre-acquisition equity** — NCI absorbs its share; don't consolidate only 80% of the sub's assets. You add **100%** of the subsidiary's assets and liabilities and *then* show NCI in equity.
- **Unrealised intra-group profit** in closing inventory/PP&E must be eliminated — leaving it inflates consolidated profit and assets.
- **Dividends from a subsidiary** are eliminated in full (intra-group); from an **associate** they *reduce the investment carrying amount*, not income (income is the share of profit).
- **Bargain purchase** (negative goodwill) is a **P&L gain**, not a liability — but reassess the fair values first; a real bargain is rare and reviewers probe it.
- **Common control (Ind AS 103)**: don't compute goodwill — use **pooling of interests** at book values. Applying acquisition method to a group reshuffle is wrong under Ind AS.
- **NCI must roll forward**: opening NCI + NCI's share of post-acquisition profit – NCI dividends. Static NCI across years is a red flag.

Interview drill

Q1: "Parent buys 80% for ₹8L; sub's fair-valued net assets are ₹9L; NCI fair value ₹1.9L. Goodwill?" A: Full-goodwill: consideration ₹8L + NCI ₹1.9L – net identifiable assets ₹9L = **₹90,000**. Under partial goodwill, NCI = 20% × ₹9L = ₹1.8L, giving goodwill ₹80,000 — the ₹10,000 gap is NCI's share of goodwill. Note the sub's net assets are **fair-valued** (including the land uplift) before taking the residual.

Q2: "When do you consolidate vs use the equity method?" A: Consolidate when you have **control** (IFRS 10) — power, exposure to variable returns, and the ability to use power to affect them, usually >50% voting but substance can override. Use the **equity method** (IAS 28) for **significant influence**, typically 20–50%, where you get a single net line — cost plus share of post-acquisition profit less dividends received — not line-by-line consolidation.

Q3: "Is goodwill amortised, and how is NCI's share of profit handled?" A: Under IFRS/Ind AS goodwill is **not amortised** — it's tested annually for impairment under IAS 36; impairment is irreversible. NCI's share of the subsidiary's **post-acquisition** profit is added to NCI each period (e.g., 20% of ₹1L profit = ₹20,000), and NCI is presented **within equity**, separate from the parent's owners.

Learn/practise (free)

- **IFRS 3 / IFRS 10 / IAS 28 illustrative examples** — free on the IFRS Foundation site; the goodwill and NCI examples map straight to interview questions.
- **ICAI Ind AS 103 / 110 / 28 educational material** — free PDFs, with the common-control pooling carve-out worked out.
- **Any listed group's annual report** — read the "basis of consolidation," goodwill, and NCI notes; reverse-engineer the elimination logic.

- **Rehearse in Excel:** build a three-column consolidation worksheet (Parent | Sub | Adjustments → Consolidated), post the elimination entry, prove debits = credits and that NCI + parent equity ties to total group equity. Then flip the same facts to an associate and show it collapses to one equity-method line.

Deferred Tax, Provisions, Employee Benefits & Key GAAP/IFRS Differences

What you'll be able to do

Build and defend a deferred-tax working (DTA/DTL) from a fixed-asset temporary difference, recognise and measure a provision under Ind AS 37 / IAS 37, split a warranty vs a contingent liability, do a basic Ind AS 19 / IAS 19 employee-benefit computation (gratuity/leave, current service cost, actuarial gains through OCI), and answer the classic "how does US GAAP differ from IFRS here?" question across the topics an Indian GCC or reporting team touches daily. You will produce the journal entries, the tax-reconciliation note, and a movement schedule that a reviewer or auditor can tie out.

The essentials

Deferred tax (Ind AS 12 / IAS 12) — balance-sheet / temporary-difference method. Tax is not booked on accounting profit; you book *current tax* (per the return) plus *deferred tax* on **temporary differences** = carrying amount of an asset/liability minus its **tax base**. - Taxable temporary difference → **DTL** (you'll pay more tax later). Classic cause: book depreciation < tax depreciation (asset carrying value > tax WDV). - Deductible temporary difference → **DTA** (you'll pay less later). Causes: provisions disallowed until paid (40(a), gratuity u/s 43B), carry-forward losses, unabsorbed depreciation. - **Measure at the tax rate expected when the difference reverses** (enacted/substantively enacted). In India use the rate you've opted for — e.g. **25.168%** under the 115BAA concessional regime (22% + 10% surcharge + 4% cess). - DTA recognised only to the extent **future taxable profit is probable**. Losses need "convincing evidence." - **No discounting** of deferred tax. Never.

Provisions & contingencies (Ind AS 37 / IAS 37). A **provision** (liability of uncertain timing/amount) is recognised when **all three** hold: (a) a **present obligation** (legal or constructive) from a past event; (b) outflow **probable** (>50%); (c) a **reliable estimate**. Measure at **best estimate** — for a large population use expected value; for a single item use the most likely outcome. **Discount** if the time-value effect is material (unlike deferred tax). A **contingent liability** (obligation only possible, or not reliably measurable) is **disclosed, not booked**. A **contingent asset** is disclosed only when inflow is probable; recognised only when virtually certain. No provisions for **future operating losses**; onerous contracts *are* provided.

Employee benefits (Ind AS 19 / IAS 19). - *Short-term* (salary, bonus, leave expected to be settled within 12 months): booked undiscounted as incurred. - *Defined contribution* (PF, NPS): expense = contribution. No further liability. - *Defined benefit* (gratuity, pension): actuarial. Book the **net defined benefit liability** = PV of obligation (DBO) – plan assets. P&L takes **current service cost + net interest** (net interest = discount rate × opening net liability). **Remeasurements** (actuarial gains/losses, return on plan assets above interest) go to **OCI and are never recycled** to P&L.

Hands-on — step by step

Worked deferred tax — fixed asset. Buy a machine for ₹100,00,000 on 1-Apr-2025. - Books: straight-line over 10 years → depreciation ₹10,00,000/yr → carrying value 31-Mar-2026 = **₹90,00,000**. - Tax: WDV block @ 15% → tax depreciation ₹15,00,000 → tax WDV = **₹85,00,000**. - Temporary difference = 90,00,000 – 85,00,000 = **₹5,00,000** (carrying > tax base → **taxable** → DTL). - Tax rate 25.168%. **DTL = 5,00,000 × 25.168% = ₹1,25,840**. - Entry: **Dr Deferred Tax Expense (P&L) 1,25,840 / Cr Deferred Tax Liability 1,25,840**.

Add a deductible item: a gratuity provision of ₹8,00,000 expensed in books but disallowed for tax until paid (43B) → deductible temporary difference → **DTA = 8,00,000 × 25.168% = ₹2,01,344**. Entry: **Dr DTA 2,01,344 / Cr Deferred Tax Income (P&L) 2,01,344**. Net deferred position this year = DTA 2,01,344 – DTL 1,25,840 = **net DTA ₹75,504**.

Tax reconciliation (rate reconciliation note). Say accounting profit before tax = ₹50,00,000. Expected tax @ 25.168% = ₹12,58,400. Add tax effect of permanent disallowance (say CSR ₹2,00,000 × 25.168% = ₹50,336). Effective tax expense ≈ ₹13,08,736; ETR ≈ 26.17%. This note must reconcile "tax at statutory rate" to "actual tax expense" — reviewers check it first.

Worked provision — warranty. You sell 10,000 units in FY26. History: 4% need minor repair (₹200 each), 1% major (₹1,500 each). Expected value = (10,000×4%×200) + (10,000×1%×1,500) = 80,000 + 1,50,000 = **₹2,30,000**. Entry: **Dr Warranty Expense 2,30,000 / Cr Provision for Warranty 2,30,000**. A separate ₹40,00,000 tax dispute where you expect to *win* (outflow possible, not probable) is a **contingent liability — disclose only**.

Worked employee benefit — gratuity (defined benefit). - Opening DBO ₹40,00,000; opening plan assets ₹30,00,000 → opening net liability ₹10,00,000. - Discount rate 7.2% (G-sec benchmark). **Current service cost** (from actuary) ₹4,50,000. - **Net interest** = 7.2% × 10,00,000 = ₹72,000. → **P&L charge = 4,50,000 + 72,000 = ₹5,22,000**. - Actuary reports experience/assumption loss of ₹1,20,000 →

remeasurement to OCI, not P&L. - Benefits paid ₹2,00,000; employer contribution ₹5,00,000. - Closing net liability = 10,00,000 + 5,22,000 + 1,20,000(OCI) - 5,00,000 = **₹11,42,000**.

The output

Deferred tax movement schedule (₹):

Item	Carrying	Tax base	Temp diff	DTA/(DTL) @25.168%
Machine	90,00,000	85,00,000	5,00,000	(1,25,840)
Gratuity prov.	8,00,000	0	8,00,000	2,01,344
Net				75,504 DTA

Defined-benefit reconciliation (₹): Opening net liability 10,00,000 → +CSC 4,50,000 → +Net interest 72,000 → +Remeasurement (OCI) 1,20,000 → -Contributions 5,00,000 → **Closing 11,42,000**. P&L 5,22,000; OCI 1,20,000.

US GAAP vs IFRS — consolidated differences

Topic	IFRS / Ind AS	US GAAP
Inventory	FIFO/weighted avg; LIFO banned ; write-downs reversible	LIFO allowed; write-downs not reversible
Fixed assets	Cost or revaluation model; component depreciation	Cost model only (no revaluation)
Dev. costs	Capitalise if criteria met (IAS 38)	Expense R&D (except software ASC 985/350)
Impairment	One-step, recoverable amt; reversals allowed (not goodwill)	Two-step legacy; no reversals
Leases (lessee)	Single model, ROU asset (IFRS 16)	Dual: finance vs operating (ASC 842)
Deferred tax	All non-current; no discounting	All non-current; valuation allowance approach
DB remeasurements	OCI, never recycled	OCI, amortised (corridor) into P&L
Provisions	"Probable" = >50%; discount if material	"Probable" ~ higher threshold (~75-80%)
Extraordinary items	Prohibited	Prohibited (removed 2015)

Checks, gotchas & red flags

- **DTA and DTL are netted only within the same tax jurisdiction/entity.** Don't offset an Indian DTA against a US DTL.
- Deferred tax is **never discounted** — but provisions **are** if material. Candidates swap these.
- Revaluation surplus and OCI-routed items carry deferred tax to **OCI**, not P&L (backwards-tracing).
- DTA on losses without "convincing evidence" of future profit is a classic overstatement red flag.
- Remeasurements to OCI must **not** be recycled under IFRS; if you see them hitting P&L next year, it's an error (or it's US GAAP corridor).
- Contingent asset booked before virtually certain = overstated income.

Interview drill

Q1. Book depreciation is lower than tax depreciation — DTA or DTL? Asset carrying value exceeds tax WDV, so there's a *taxable* temporary difference — you've claimed more tax relief now and will pay more later. That's a **DTL**. Reverse the logic for a provision disallowed till paid (DTA).

Q2. Where do actuarial gains/losses on a gratuity plan go, and do they ever hit P&L? Under Ind AS 19 / IAS 19 they're **remeasurements booked to OCI** and are **never reclassified to P&L**. Only current service cost, past service cost, and net interest go through P&L. (US GAAP amortises them via the corridor — a key difference.)

Q3. Name three IFRS vs US GAAP differences that change reported profit. LIFO (US allows, IFRS bans — hits COGS/inventory); impairment reversals (IFRS allows for non-goodwill assets, US never); and development-cost capitalisation (IFRS capitalises if criteria met, US expenses R&D). Each moves both the P&L and the balance sheet.

Learn/practise (free)

- **MCA Ind AS text** (mca.gov.in) and **IFRS Foundation** free-to-read standards summaries — read IAS 12, 37, 19 side by side.
- **ICAI Study Material** (Advanced Accounting / Financial Reporting) — free PDFs with solved deferred-tax and gratuity problems.
- Rehearse in **Excel**: build the temporary-difference table, a DB reconciliation roll-forward, and a rate reconciliation. Feed it real numbers from any listed company's Note on Income Taxes (e.g. Infosys, TCS annual report) and re-derive their ETR — best free practice there is.
- **KPMG / EY / PwC "IFRS vs US GAAP" comparison PDFs** — free, authoritative, and the exact table interviewers quiz from.

Internal Controls: SOX, J-SOX, IFC — RCM, Testing, Deficiencies

What you'll be able to do

Walk into a GCC controls team and immediately be useful: read a process narrative, build a **Risk & Control Matrix (RCM)** row, distinguish **design effectiveness** from **operating effectiveness**, run a **walkthrough**, pick a **sample size** and perform a **test of controls**, document the results, and **evaluate a deficiency** — deciding whether it's a control deficiency, a **significant deficiency (SD)**, or a **material weakness (MW)**. You'll understand how the same machinery is labelled **SOX** in the US, **J-SOX** in Japan, and **IFC / IFCoFR** in India, and what management's attestation actually asserts.

The essentials

The frameworks. Internal Control over Financial Reporting (ICFR) is assessed against a recognised framework — globally that's **COSO 2013**, with its **five components** and **17 principles**: 1. **Control Environment** — tone at the top, ethics, competence. 2. **Risk Assessment** — identify what could go wrong (WCGW) in each assertion. 3. **Control Activities** — the actual controls (approvals, reconciliations, segregation of duties). 4. **Information & Communication** — data flows, reporting. 5. **Monitoring** — ongoing/periodic evaluation.

The regimes. | Regime | Jurisdiction | Legal basis | Auditor opinion on ICFR? | |---|---|---|---| | **SOX** (s.302 CEO/CFO certify; s.404 ICFR) | US (SEC filers) | Sarbanes-Oxley 2002; PCAOB AS 2201 | Yes for accelerated filers (404b) | | **J-SOX** | Japan | FIEA 2006 | Yes (internal control audit) | | **IFC / IFCoFR** | India | Companies Act 2013 s.134(5)(e), 143(3)(i); Rule 8(5) | Auditor reports on IFC adequacy & operating effectiveness |

In India the **auditor** reports on IFCoFR (SA 315/330 + ICAI Guidance Note), the **Board** states responsibility, and **independent directors/audit committee** oversee.

Control taxonomy. By purpose: **preventive** (stops error before it happens — e.g. system blocks a PO over limit) vs **detective** (catches after — e.g. bank reconciliation). By operation: **manual** vs **automated** vs **IT-dependent manual** (a person reviews a system report — you must test *both* the report's integrity and the review). **Entity-Level Controls (ELCs)** vs **Process-Level Controls**. Frequency: annual, quarterly, monthly, daily, per-transaction.

Design vs operating effectiveness. - **Design effectiveness** — *if* the control operates as intended, would it prevent/detect a material misstatement? Tested via **walkthrough** (trace one transaction end-to-end). - **Operating effectiveness** — is it *actually* operating consistently over the period? Tested via **test of controls** on a sample.

Sample sizes (typical, AICPA/PCAOB guidance): | Control frequency | Population | Sample | |---|---|---| | Annual | 1 | 1 | | Quarterly | 4 | 2 | | Monthly | 12 | 2–5 | | Weekly | 52 | 5–15 | | Daily | ~250 | 20–40 | | Multiple/day (transactional) | thousands | 25–60 |

Deficiency evaluation. A **deficiency** exists when a control is missing or doesn't operate so as to prevent/detect a misstatement on a timely basis. Grade by **severity = likelihood × magnitude of potential misstatement** (not the actual error found): - **Control deficiency** — minor; managed internally. - **Significant deficiency (SD)** — important enough to merit attention of those charged with governance. - **Material weakness (MW)** — a **reasonable possibility** that a **material** misstatement won't be prevented/detected. Requires disclosure; sinks the ICFR opinion.

Hands-on — step by step

Take **procure-to-pay (P2P)**, purchase-order approval.

1. **Understand the process (narrative).** "All POs above ₹5,00,000 require Finance Head e-approval in SAP before the PO is released to the vendor."
2. **Identify the risk / WCGW.** Unauthorised or over-budget purchases are committed → overstated expenses/liabilities; assertions hit = **occurrence, authorisation, accuracy**.
3. **Identify the control.** "SAP configuration blocks release of any PO > ₹5,00,000 until the Finance Head applies electronic approval (release strategy)." This is **preventive, automated (IT-dependent), transactional**.
4. **Test design — walkthrough.** Pick one PO for ₹6,20,000. Trace: requisition → SAP flags for release → Finance Head approves → PO released. Confirm the config threshold in SAP (t-code OMGS / release strategy). Conclusion: **designed effectively**.
5. **Test operating effectiveness.** Transactional automated control, so if configuration is stable you can test the **automated logic once** plus a sample of approvals. Pull the population of FY26 POs > ₹5,00,000 (say 480). For the *manual approval* element sample **25**; for the *automated block* attempt to release **1** unapproved test PO in a QA client and confirm the system blocks it.

6. **Perform the test.** For each of the 25: agree approver = Finance Head (not the requisitioner — **segregation of duties**), approval **before** release date, amount matches. Record attributes in a testing workpaper.
7. **Note exceptions.** Suppose 1 of 25 was approved by a delegate whose delegation lapsed. That's an **exception** — investigate: was it a one-off or systemic? Extend sample if needed.
8. **Evaluate the deficiency.** One lapsed-delegate approval on a ₹5,80,000 PO. Magnitude below materiality, compensating monthly budget-variance review exists → grade **control deficiency** (not SD/MW). Document rationale.

The output

Sample RCM row:

Ref	Process	Risk / WCGW	Assertion	Control description	Type	Freq	Owner	Design test	Operating test	Result
P2P-03	Procure-to-Pay	Unauthorised PO > ₹5L released	Occurrence, Authorisation	SAP release strategy blocks PO > ₹5,00,000 until Finance Head e-approval	Preventive / Automated (IT-dependent)	Per transaction	Finance Head	Walkthrough of PO #45012345 (₹6.2L)	25 approvals + 1 QA block test	1 exception (lapsed delegate) → control deficiency

Testing workpaper conclusion (extract): "Design: Effective. Operating: 24/25 attributes passed; 1 exception due to expired delegation. Root cause: delegation register not updated. Severity: Control Deficiency — magnitude < materiality (₹X), compensating budget-variance review operating. Remediation: automate delegation expiry alerts. Retest Q3."

Management attestation (India IFC): Directors' Responsibility Statement, s.134(5)(e): "...the directors had laid down internal financial controls to be followed by the company and that such internal financial controls are **adequate and were operating effectively**." Auditor issues a separate IFCoFR opinion under s.143(3)(i).

Checks, gotchas & red flags

- **Severity is based on *potential*, not the error you happened to find.** A clean sample doesn't downgrade a badly designed control.
- **IT-dependent manual controls need both halves tested** — the report/GITC integrity *and* the human review. Testing only the review is the #1 miss.
- **Segregation of duties (SoD):** the approver must not be the initiator, and the preparer must not be the reviewer. An approver approving their own request voids the control.
- **General IT Controls (GITCs)** — access, change management, backups — underpin every automated control. Weak GITCs can escalate an application-control finding to pervasive.
- Don't confuse **SD vs MW**: MW = *reasonable possibility of a material misstatement*. If it could hide something material, it's MW regardless of whether anything was actually misstated.
- **Rollover / roll-forward:** interim testing needs roll-forward procedures to year-end.

Interview drill

Q1. Difference between design and operating effectiveness — and how you test each? Design asks whether the control, *if operating*, would prevent or detect a material misstatement; you test it with a **walkthrough** (trace one item end to end). Operating asks whether it *actually functioned consistently over the period*; you test a **sample** of occurrences against defined attributes. A control can be well-designed but fail operationally, or operate perfectly yet be poorly designed — both must pass.

Q2. When does a deficiency become a material weakness? When there's a **reasonable possibility** that a **material** misstatement of the financials would not be prevented or detected on a timely basis. It's about potential magnitude and likelihood, not the actual error size — and compensating controls can reduce severity. An SD merely warrants governance attention; an MW must be disclosed and negates a clean ICFR opinion.

Q3. You're testing a control where a manager reviews a system-generated exception report. What must you test? Both layers: (1) the **integrity of the report** — that it's complete and accurate, which depends on GITCs and the report logic; and (2) the **review**

itself — evidence the manager investigated exceptions and followed up, not just signed. Testing only the signature misses that the underlying data could be wrong.

Learn/practise (free)

- **COSO 2013 Framework executive summary** (free PDF) — memorise the 5 components/17 principles.
- **PCAOB AS 2201** and **SEC/PCAOB** guidance — free online; the definitive US source on ICFR and deficiency severity.
- **ICAI Guidance Note on Audit of Internal Financial Controls over Financial Reporting** — free, India-specific, with sample RCMs and test formats.
- Rehearse by building an **RCM in Excel** for one process you know (P2P, O2C, R2R): columns = process, risk, assertion, control, type, frequency, test procedure, sample, result. Then write a mock testing workpaper with a planted exception and grade its severity — that's exactly the deliverable a controls team wants to see.

XBRL, MCA/ROC Filings & Standards Interview Drills + Cheat-Sheet

What you'll be able to do

Explain what **XBRL** is and why regulators use it, **tag** a financial-statement line item to a taxonomy element with the right context/unit/decimals, know **which companies must file in XBRL** and via which MCA forms, prepare the flow for the two headline **ROC filings — AOC-4 (financials) and MGT-7 (annual return)** — and know their due dates and taxonomy. Then you'll have a bank of **standards & controls interview drills** with strong answers, and a one-page **cheat-sheet of standard numbers and key GAAP/IFRS differences** to revise the night before.

The essentials

XBRL (eXtensible Business Reporting Language) is an XML-based, machine-readable format for financial data. Instead of a PDF, each number carries a **tag** from a **taxonomy** (a dictionary of reporting concepts) so regulators can aggregate and compare across companies automatically. Core pieces: - **Element / concept** — e.g. *Revenue from operations*. - **Context** — *who* (entity) and *when* (instant for balance-sheet items, duration for P&L) plus dimensions. - **Unit** — INR, shares, pure (for ratios/percentages). - **Decimals / precision** — how exact the value is (e.g. *-5* = rounded to lakhs, *-7* = crores). - **Instance document** — the actual tagged data file that gets validated and filed. - **Extension** — where a company adds a concept the base taxonomy lacks (US GAAP allows liberal extensions; MCA's taxonomy is far more restricted).

MCA uses the **C&I (Commercial & Industrial) Ind AS / AS taxonomy**. SEBI/exchanges also require XBRL for listed-company disclosures.

Who must file financials in XBRL with MCA (India): (a) all **listed** companies and their Indian subsidiaries; (b) companies with **paid-up capital ≥ ₹5 crore**; (c) companies with **turnover ≥ ₹100 crore**; (d) all companies required to prepare accounts under **Ind AS**.

Exemptions: banking, insurance, NBFC, power companies (they have their own regimes).

The two headline ROC filings:

Form	What it is	Due date	Attachments
AOC-4 / AOC-4 XBRL / AOC-4 CFS	Financial statements + Board's report	Within 30 days of AGM	Balance sheet, P&L, cash flow, notes, auditor's report, Board's report; XBRL instance if applicable
MGT-7 / MGT-7A	Annual return (shareholding, directors, meetings)	Within 60 days of AGM	List of shareholders, KMP, MGT-8 (certification) for large cos

AGM must generally be held within **6 months** of financial year-end (Sept 30 for a March year-end). **MGT-7A** is the abridged annual return for small companies and OPCs.

Hands-on — step by step

Tagging a line item in XBRL (MCA C&I taxonomy). You're tagging *Revenue from operations* = ₹1,250.75 crore for FY 1-Apr-2025 to 31-Mar-2026, entity CIN L12345MH2010PLC000000.

1. **Prepare validated financials** in the notified Schedule III format.
2. **Open the MCA XBRL conversion tool** (or a certified third-party tool like IRIS, Webtel, DataTracks).
3. **Map the line** "Revenue from operations" to the taxonomy element *RevenueFromOperations* (period type: **duration**).
4. **Set the context** — entity = CIN; period = 2025-04-01 to 2026-03-31 (a *duration* because P&L; a balance-sheet item like *Equity* would use an *instant* = 2026-03-31).
5. **Set unit** = **INR**; **value** entered in the base reporting unit. If reporting in crore, enter 12507500000 (rupees) or set **decimals = -7** to signal crore-rounding — follow the tool's scale convention exactly.
6. **Tag prior-year comparative** (FY25) with its own context.
7. **Generate the instance document**, then **run MCA validation** (checks taxonomy compliance, mandatory tags, arithmetic — e.g. *Assets = Liabilities + Equity*).
8. **Pre-scrutiny** on the MCA/MCA21 V3 portal, attach to **AOC-4 XBRL**, affix DSC of director + practising professional, pay fee, submit; note the **SRN**.

Filing flow — AOC-4 & MGT-7 (March year-end): 1. FY ends **31-Mar-2026**. 2. Finalise & audit accounts. 3. Board approves. 4. **AGM by 30-Sep-2026**. 5. File **AOC-4 (XBRL)** by **~30-Oct-2026** (30 days post-AGM). 6. File **MGT-7** by **~29-Nov-2026** (60 days post-AGM). 7. Late filing → **₹100/day per form, no cap**.

The output

A tagged fact (instance-document extract, simplified):

```
<in-capmkt:RevenueFromOperations
  contextRef="FY2026"      <!-- entity CIN + duration 2025-04-01..2026-03-31 -->
  unitRef="INR"
  decimals="-7">12507500000</in-capmkt:RevenueFromOperations>
```

Filing calendar output (FY 2025-26, March year-end):

Milestone	Date
Financial year-end	31-Mar-2026
Last date for AGM	30-Sep-2026
AOC-4 (XBRL) due	~30-Oct-2026
MGT-7 due	~29-Nov-2026
Penalty if late	₹100/day/form, uncapped

Checks, gotchas & red flags

- **Context type must match the concept:** balance-sheet items are **instant** (a date), P&L/cash-flow items are **duration** (a period). Swapping them fails validation.
- **Decimals/scale errors** are the classic XBRL bug — a value tagged at the wrong scale reports ₹1,250 as ₹1,250 crore or ₹12.5. Always reconcile the tagged instance back to the signed PDF.
- **Sign convention:** expenses and contra items may need negatives — check the element's balance attribute.
- **Don't over-extend:** MCA's taxonomy allows very limited extensions; forcing custom tags gets rejected. Map to the closest standard element.
- **AOC-4 vs AOC-4 CFS:** consolidated financials need the separate **CFS** form; a company with subsidiaries filing only standalone is non-compliant.
- **AGM date drives everything** — the 30/60-day clocks run from the *actual* AGM date, not the year-end.

Standards & controls interview drills

Q1. Company reporting in INR crore — how do you make sure the XBRL number is right? The tagged value must reconcile exactly to the audited statement. I confirm three things: the **element** (correct concept), the **context** (instant vs duration, correct period/entity), and the **unit + decimals/scale** so ₹1,250.75 crore isn't mis-scaled. Then I run MCA validation (arithmetic checks like Assets = Equity + Liabilities) and tie the instance back to the signed PDF line by line before pre-scrutiny.

Q2. Walk me from year-end to filed annual accounts for an Indian company. Close and audit the books → Board approves financials and Board's report → hold the AGM within 6 months of year-end (by 30 Sep for a March close) → within **30 days** of AGM file **AOC-4** (XBRL if the company is listed, ≥₹5 cr capital, ≥₹100 cr turnover, or Ind AS) → within **60 days** file **MGT-7**. Late filing is ₹100/day per form with no cap, so the AGM date governs the whole calendar.

Q3. Why do regulators mandate XBRL instead of PDFs? Because XBRL is machine-readable: every number carries a taxonomy tag with context and unit, so the regulator can validate arithmetic automatically, aggregate across thousands of filers, and run comparisons and red-flag analytics without manual re-keying. It improves data quality and comparability — the trade-off is tagging discipline (right element, context type, and scale).

Q4. Difference between a provision and a contingent liability, and where does each appear? A provision meets all three recognition tests — present obligation, probable outflow, reliable estimate — so it's **booked** on the balance sheet (IAS 37 / Ind AS 37). A contingent liability is only a possible obligation, or can't be reliably measured, so it's **disclosed in the notes**, not recognised. The line is "probable and measurable" versus "possible."

Cheat-sheet — standard numbers & key differences

IFRS / Ind AS quick map (Ind AS = 100 + IFRS/IAS no. in most cases): | Topic | IFRS/IAS | Ind AS | |---|---|---| | Presentation | IAS 1 | Ind AS 1 | | Inventories | IAS 2 | Ind AS 2 | | Cash flows | IAS 7 | Ind AS 7 | | Income taxes | IAS 12 | Ind AS 12 | | PP&E | IAS 16 | Ind AS 16 | | Employee benefits | IAS 19 | Ind AS 19 | | Provisions/contingencies | IAS 37 | Ind AS 37 | | Intangibles | IAS 38 | Ind AS 38 | | Financial instruments | IFRS 9 | Ind AS 109 | | Revenue | IFRS 15 | Ind AS 115 | | Leases | IFRS 16 | Ind AS 116 | | Consolidation | IFRS 10 | Ind AS 110 | | Fair value | IFRS 13 | Ind AS 113 |

US GAAP counterparts: Revenue **ASC 606**, Leases **ASC 842**, Financial instruments **ASC 320/326 (CECL)**, Income taxes **ASC 740**, Consolidation **ASC 810**.

Key differences (memorise): LIFO — US allows, IFRS bans. Revaluation of PP&E — IFRS yes, US no. Impairment reversals — IFRS yes (not goodwill), US never. Development costs — IFRS capitalises if criteria met, US expenses R&D. DB remeasurements — IFRS OCI (no recycling), US corridor to P&L. Deferred tax — never discounted (both). Provisions — never confused with contingent liabilities (booked vs disclosed).

India filing numbers: AOC-4 = **30 days** post-AGM; MGT-7 = **60 days**; AGM = within **6 months** of year-end; XBRL thresholds = listed / ₹5 cr capital / ₹100 cr turnover / Ind AS; late fee = **₹100/day/form, uncapped**.

Learn/practise (free)

- **MCA XBRL portal** (mca.gov.in/XBRL) — free taxonomy, filing manual, and business rules; download a live company's AOC-4 XBRL instance and read the tags.
- **IFRS Foundation** free taxonomy viewer and **SEC EDGAR** (free US XBRL filings) — compare how the same concept is tagged.
- **ICAI** Ind AS material and **MCA notified taxonomy** — free.
- Rehearse: take any listed company's annual report, pick ten P&L/BS lines, and hand-map each to its taxonomy element with the correct context type and scale; then reconcile to the PDF. Doing this once teaches XBRL faster than any lecture.